

MIDTERM EXAMINATION

Spring 2010

MGT602- Entrepreneurship (Session - 3)

Time: 60 min

Marks: 47

Asslam O Alikum

MGT602 Entrepreneurship Mid Term Paper 2010 100% correct *solved with reference by Afaaq Shani Bhai*

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Question No: 1 (Marks: 1) - Please choose one

Individuals who help the entrepreneur in business activities are called:

- ▶ Role models
- ▶ Moral support networks
- ▶ **Professional support networks**

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Professional-support network

Individuals who help the entrepreneur in business activities

- ▶ Business support networks

Question No: 2 (Marks: 1) - Please choose one

Following are the problems in developing the economies **EXCEPT**:

- ▶ Gap of knowledge
- ▶ Variable rate of return
- ▶ **Same communication style**

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There are still many Difficulties in doing business in developing and transition economies due to:

- a. Gaps in the knowledge of the Western system regarding business plans, marketing and profits
- b. Widely variable rates of return.
- c. Non-convertibility of the ruble.
- d. Differences in the accounting system.
- e. Nightmarish communications.

▶ Different accounting system

Question No: 3 (Marks: 1) - Please choose one

Which one the following is the best protection against product liability?

▶ Avoid negligence

▶ **Warn consumers of any potential hazards**

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The best protection against product liability is to produce safe products and to warn consumers of any potential hazards

▶ Give warranty

▶ Avoid misrepresentation

Question No: 4 (Marks: 1) - Please choose one

Which one of the following reviews the trends and competitive strategies?

▶ Environmental analysis

▶ Product forecast

▶ Contingency plan

▶ **Industry analysis**

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Industry analysis should include information on market size, growth rate, suppliers, new entries, and economic conditions.

Question No: 5 (Marks: 1) - Please choose one

A utility patent has a term of:

▶ 10 years

▶ 40 years

▶ **20 years**

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NAFTA (North American Free Trade Agreement) establishes a minimum period of 20 years from the date of filing or 17 years from the date of the grant

▶ 80 years

Question No: 6 (Marks: 1) - Please choose one

Which of the following body issues patents?

- ▶ GATT
- ▶ NAFTA
- ▶ FTA

▶ **PTO**

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Patents are issued by the Patent and Trademark Office (PTO.)

Question No: 7 (Marks: 1) - Please choose one

Which of the following is a more structured method of problem solving, including principles and rules for concept formation, making observations and experiments, and finally validating the hypothesis?

▶ **Scientific method**

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Scientific method

This is a more structured method of problem solving, including principles and rules for concept formation, making observations and experiments, and finally validating the hypothesis

- ▶ Heuristics
- ▶ Attribute listing
- ▶ Value analysis

Question No: 8 (Marks: 1) - Please choose one

Which one of the following gives suggestions for new product and also helps to market new products?

- ▶ Existing products and services

▶ **Distribution channels**

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Because they are familiar with the needs of the market, channel members often have suggestions for new products.

- ▶ Federal government
- ▶ Consumers

Question No: 9 (Marks: 1) - Please choose one

GATT is established in 1947, under:

- ▶ German leadership
- ▶ French leadership

▶ **U.S. leadership**

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GATT (General Agreement on Tariffs and Trade) that took effect on January 1, 1996, any application by a foreign company will be treated equally to an American firm.

- ▶ U.K. leadership

Question No: 10 (Marks: 1) - Please choose one

Factors contribute to the creation of new venture **EXCEPT:**

► Government

► Finance

► **High interest rates**

► Role models

Question No: 11 (Marks: 1) - Please choose one

A foundation company is formed through which of the following?

► Fashion

► Most popular business

► A winding up company

► **Research and development**

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A type of company formed from research and development that usually does not go public

Question No: 12 (Marks: 1) - Please choose one

Which one of the following is the primary cause of failure in small businesses?

► Poor financial control

► Poor location

► **Management mistakes**

► Improper inventory control

Question No: 13 (Marks: 1) - Please choose one

Which of the following is a fourth step in the entrepreneurial process?

► Developing successful business ideas

► Deciding to become an entrepreneur

► **Growing the entrepreneurial firm**

ENTREPRENEURIAL PROCESS

The **entrepreneurial process** involves finding, evaluating, and developing an opportunity by overcoming the strong forces that resist the creation of something new.

Phase 1: Identifying and Evaluating the Opportunity

Phase 2: Develop a Business Plan

Phase 3: Determine the Resources Required.

Phase 4: Manage the Enterprise

► Moving from an idea to an entrepreneurial firm

Question No: 14 (Marks: 1) - Please choose one

Which one of the following is **NOT** a phase of entrepreneurial process?

► Identification and evaluation of opportunity

► Development of business plan

► **Deciding to become an entrepreneur**

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- ▶ Determination of required resources

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is not the intrapreneurial leadership characteristic?

- ▶ Understands environment
- ▶ Encourage the team work

▶ **Not flexible**

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There are certain individual characteristics needed for a person to be successful Entrepreneurs including:

1. Understanding the environment
2. Being visionary and flexible
3. Creating management options
4. Encourage teamwork while employing a multi-disciplined approach
5. Encouraging open discussion
6. Building a coalition of supporters, and persisting

- ▶ Persistent

Question No: 16 (Marks: 1) - Please choose one

Which of the following system is necessary for expansion or elimination of intrapreneurial units?

- ▶ Management

▶ **Evaluation**

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The organization needs to implement an evaluation system that allows successful units to expand and unsuccessful ones to be eliminated.

- ▶ Reward

- ▶ Training

Question No: 17 (Marks: 1) - Please choose one

Which of the following factor does not affect a person for being an entrepreneur?

▶ **Nationality**

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A potential entrepreneur can be male or female and of any race or nationality.

- ▶ Education
- ▶ Personal values
- ▶ Work history

Question No: 18 (Marks: 1) - Please choose one

Professional support network includes all of the following **EXCEPT**:

- ▶ Personal affiliations
- ▶ Mentor

- ▶ Trade associations

- ▶ **Friends**

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Question No: 19 (Marks: 1) - Please choose one

Following are the types of foreign direct investment **EXCEPT**:

- ▶ Joint venture

- ▶ **Management contracts**

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Management contracts

Entrepreneurs can contract their management techniques and skills, often following a turn-key project. The **management contract** allows the purchasing country to gain foreign expertise without turning ownership over to a foreigner

- ▶ Minority interest
- ▶ Merger

Question No: 20 (Marks: 1) - Please choose one

Following are the types of non-equity arrangements **EXCEPT**:

- ▶ Licensing
- ▶ Management contracts

- ▶ **Direct export**

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Direct exporting through independent distributors or through one's own overseas sales office is another entry method. An independent foreign distributor directly contacts foreign customers and takes care of all technicalities. Entrepreneurs who do not wish to give up control over marketing can open overseas sales offices and hire their own salespeople.

- ▶ Turnkey projects

Question No: 21 (Marks: 1) - Please choose one

According to which of the following, an entrepreneur is the person who brings resources, labor, materials and other assets into combinations that increase their value?

- ▶ **Economist**

Page # 04

To an economist, an entrepreneur is one who brings resources, labor, materials, and other assets into combinations that make their value greater than before, and one who introduces changes, innovations, and a new order

- ▶ Psychologist
- ▶ Businessman
- ▶ Sociologist

Question No: 22 (Marks: 1) - Please choose one

Which of the following abilities must be possessed by an entrepreneur?

- ▶ Creative
- ▶ Conceptualization
- ▶ Understanding environment

▶ **All of the given options (General question)**

Question No: 23 (Marks: 1) - Please choose one

Which of the following options can be very helpful to start-up new ventures?

▶ **Seed Capital**

- ▶ Infrastructure
- ▶ Technology
- ▶ Experience

Question No: 24 (Marks: 1) - Please choose one

According to Henning and Jardim, female executives tend to be the firstborn. Which of the following supports this research?

- ▶ Because firstborn has to be more responsible
- ▶ Because firstborn needs special care
- ▶ Because firstborn tends to be more flexible
- ▶ **Because firstborn receives special attention**

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Question No: 25 (Marks: 1) - Please choose one

In terms of personality, there are strong similarities between men and women entrepreneurs. Which of the following **does not** refer to this statement?

- ▶ Both are energetic
- ▶ Both are goal oriented

- ▶ They want to be independent

▶ **Males are more confident than women**

Question No: 26 (Marks: 1) - Please choose one

Which of the following businesses women entrepreneurs prefer to start?

- ▶ Manufacturing
- ▶ Construction
- ▶ **Educational services**
- ▶ High-technology fields

Question No: 27 (Marks: 1) - Please choose one

“Paying for goods indirectly through another source” refers to:

- ▶ Barter
- ▶ Trading
- ▶ **Third-party arrangement**

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Third-party arrangements

Paying for goods indirectly through another source

- ▶ Balance of payment

Question No: 28 (Marks: 1) - Please choose one

Which of the following best defines “diversified activity merger”?

- ▶ It refers to combining two firms with noncompeting products
- ▶ It refers to forming a third company by combining two companies
- ▶ **It refers to combining at least two totally unrelated firms**

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Diversified activity merger

Combination of at least two totally unrelated firms

- ▶ It refers to combining at least two firms at different market levels

Question No: 29 (Marks: 1) - Please choose one

Which of the following statements best defines “brainstorming”?

- ▶ It refers to groups of individuals providing in a structured format
- ▶ **It refers to a group method for obtaining new ideas and solutions**

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Brainstorming

A group method of obtaining new ideas and solutions is called brainstorming.

- ▶ It refers to a method for obtaining new ideas and solutions by focusing on problems
- ▶ It refers to a method for obtaining new ideas focusing on the parameters

Ref: (Handouts page No.40)

Question No: 30 (Marks: 1) - Please choose one

Identify the statement which refers to “licensing”.

- ▶ It grants holder protection from others making, using or selling similar idea
- ▶ It may be a word, symbol, design or some combination that identifies the source of certain goods
- ▶ It protects original works of authorship
- ▶ **It is a contractual agreement giving rights to others to use intellectual property in return for a royalty or fee**

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Licensing

Contractual agreement giving rights to others to use intellectual property in return for a royalty or fee

Question No: 31 (Marks: 1) - Please choose one

Which of the following denote no relationship between the mark and the goods or services?

- ▶ **Coined marks**

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Coined marks denote no relationship between the mark and the goods and afford the possibility of expansion

- ▶ Arbitrary marks
- ▶ Suggestive marks
- ▶ Descriptive marks

Question No: 32 (Marks: 1) - Please choose one

Which of the following trademarks is used to suggest certain features, qualities, ingredients or characteristics of a product or service?

- ▶ Coined mark
- ▶ Arbitrary mark
- ▶ **Suggestive mark**

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A suggestive mark is used to suggest certain features or characteristics of a product or service

- ▶ Descriptive mark

Question No: 33 (Marks: 1) - Please choose one

Data that support the opportunity for the venture should be briefly stated in the executive summary. If this venture is an internet business, all of the following facts should be stated by an entrepreneur EXCEPT:

- ▶ Growth in the number of internet users
- ▶ Growth in the average amount of time spent on the internet
- ▶ Growth in sales dollars generated on the internet
- ▶ **Growth rate of population**

Question No: 34 (Marks: 1) - Please choose one

Which of the following make the business plan difficult to control and implement?

► **Too general goals and objectives**

Goals and objectives that are too general or that are not feasible make the business plan difficult to control and implement.

► Too specific goals and objectives

► Realistic goals and objectives

► None of the given options

Question No: 35 (Marks: 3)

Describe any three issues that should be addressed in executive summary.

Answer

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Executive Summary

This is prepared after the total plan is written. It should be three to four pages in length and should highlight the key points in the business plan. The summary should highlight in a concise manner the key points in the business plan. Issues that should be addressed include:

1. Brief description of the business concept
2. Any data that support the opportunity for the venture.
3. Statement of you this opportunity will be pursued.
4. Highlight some key financial results that can be achieved Because of the limited scope of the summary, the entrepreneur should ascertain what is important to the audience to whom the plan is directed.

Question No: 36 (Marks: 5)

Briefly discuss the status of entrepreneurship in Europe

Answer

Page # 37.

Europe

1. Europe has only recently become interested in entrepreneurship. 2. Risk taking has been discouraged and business failure considered a social disgrace. 3. Several changes in the social and political climate have changed this traditional, security-conscious culture. 4. Exemplifying this new thinking are academics, especially scientists and engineers. 5. Today more individuals are emerging in both academic circles and large companies who are look for a challenge. 6. New government policies are making it easier to raise money for starting up businesses. 7. The U.K. created the Business Expansion Scheme in 1983 to provide capital to new business ventures. 8. In France several economic and social factors cause difficulties. 9. Venture capital is managed by bankers, who are risk averse. 10. Another hurdle is the French contempt for both failure and success. 11. Research in Ireland and Sweden has explored the nature of European entrepreneurship.

Question No: 37 (Marks: 5)

Discuss what kind of information should be mentioned in “description of venture” section of a business plan.

Answer

Page # 57.

Description of the Venture

The description of the venture should be detailed in this section. This should begin with the mission statement or company mission, which describes the nature of the business and what the entrepreneur hopes to accomplish. The new venture should be described in detail, including the product, location, personnel, background of entrepreneur, and history of the venture. The emphasis placed on location is a function of the type of business. Maps that locate customers, competitors, and alternative locations can be helpful. If the building or site decision involves legal issues, the entrepreneur should hire a lawyer.

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